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CZECH REPUBLIC

Czech confidence points to sub-par expansion

We read the confidence indicators as pointing to a rather mediocre economic expansion in the coming quarters, with the Hormuz conflict and high energy prices taking their toll. Meanwhile, inflation is set to rise at the turn of the year, eating into real wage gains and potentially household spending, too

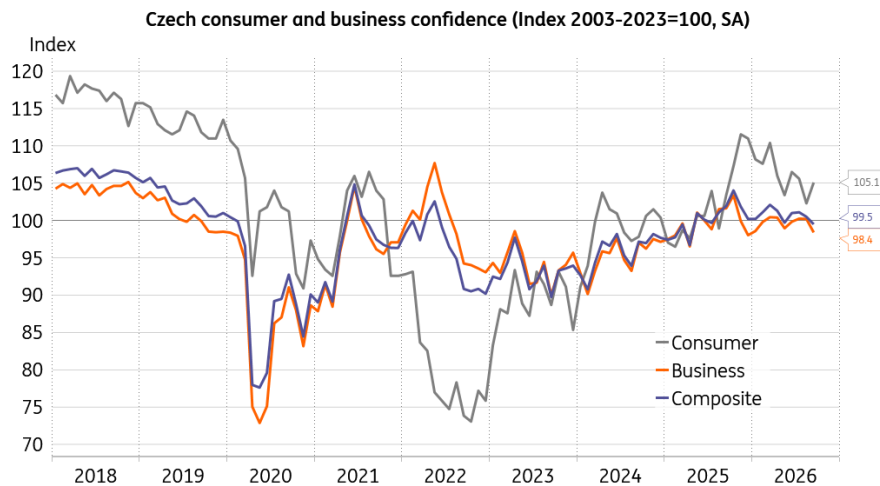


Czech consumer confidence rose in September while business confidence fell

Confidence far from signalling better times ahead

Czech consumer confidence edged higher in September, while business confidence moved in the opposite direction. Both developments are in line with our expectations, only much more pronounced. The consumer confidence indicator rose by 2.8 points to 105.1 in September, stronger than market participants had expected. Nevertheless, we view this increase as a correction following the previous pronounced decline, at least to some extent, and do not perceive it as a decisive turnaround in the deteriorating trend observed since last November. Meanwhile, the business confidence indicator fell 1.8 points to 98.4, coming in below expectations and the long-term average, with services and industry recording the largest declines.

Industry and services took business confidence down



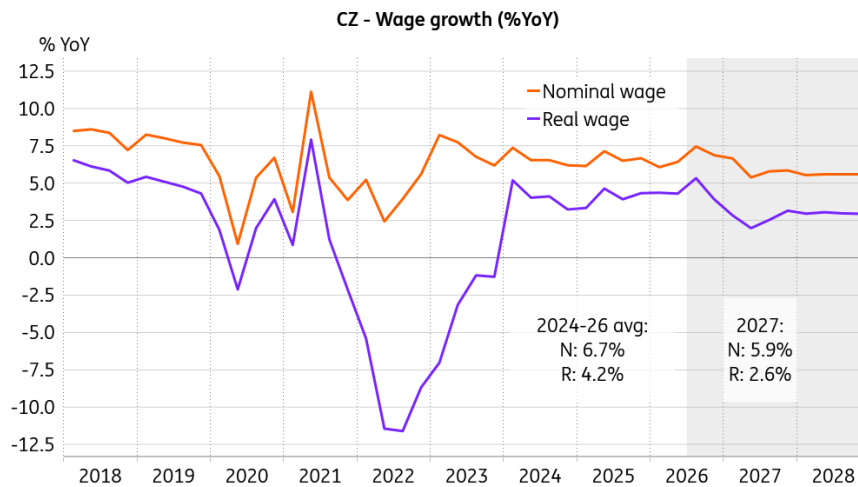
Source: CZSO, Macrobond

This suggests that two of our hypotheses may just be coming true: i) the services sector is becoming saturated, and ii) industrial performance and confidence were propped up by Hormuz-induced pre-stocking that is just beginning to fade. It should be noted that neither consumer nor business confidence is at levels consistent with strong economic performance, such as in the period just before the pandemic, when the economy was expanding at around 3%.

Stronger inflation will reduce real wage gains

Looking ahead, we expect firms' profitability to come under pressure due to increasing input costs combined with severe global (predominantly Chinese) competition. With this in mind, we don't see the private sector as being willing or able to sustain generous wage increases throughout the coming year. Nominal wage growth is expected to remain relatively solid at around 6% over the next year. However, when it comes to household budgets, part of the nominal income gain will be eroded by faster price growth, particularly for essential items such as food and energy. Ergo, we expect the economy to deliver below-par growth alongside above-par inflation over the coming year.

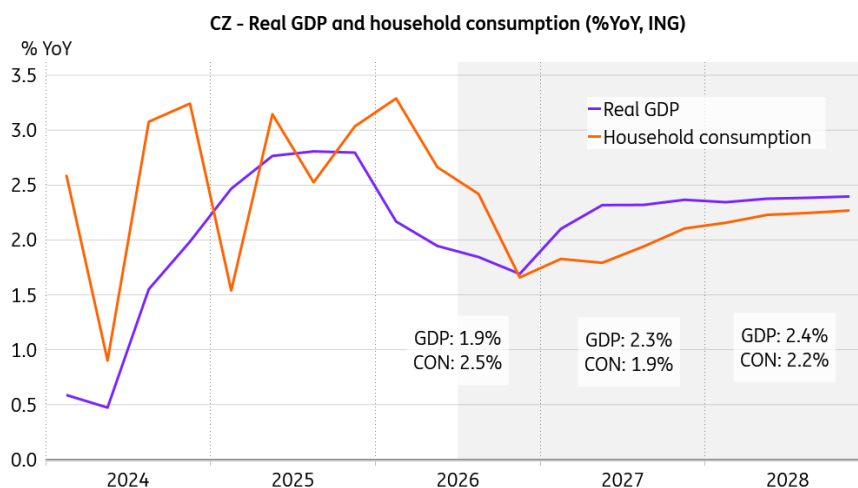
Real wage gains to soften in 2027



Source: CZSO, ING, Macrobond

We don't foresee any collapse in household spending at this stage, however, real wage growth is set to soften to 2.6% next year in our base case scenario from the more than 4% rate observed since 2024. Sure, this is still not too bad for the economy en gros, but for medium- and low-income households, the situation may get tricky. With that in mind, we expect slightly softer household consumption over the coming quarters, taking the 2027 average growth pace to 1.9%. At the same time, industry has recently regained its footing, with exporters set to benefit from a weaker koruna both now and in the future. We see the composition of growth shifting from strong household consumption and mediocre manufacturing performance towards somewhat weaker consumer spending and stronger industrial output.

Less buoyant consumer expenditure ahead



Source: CZSO, ING, Macrobond

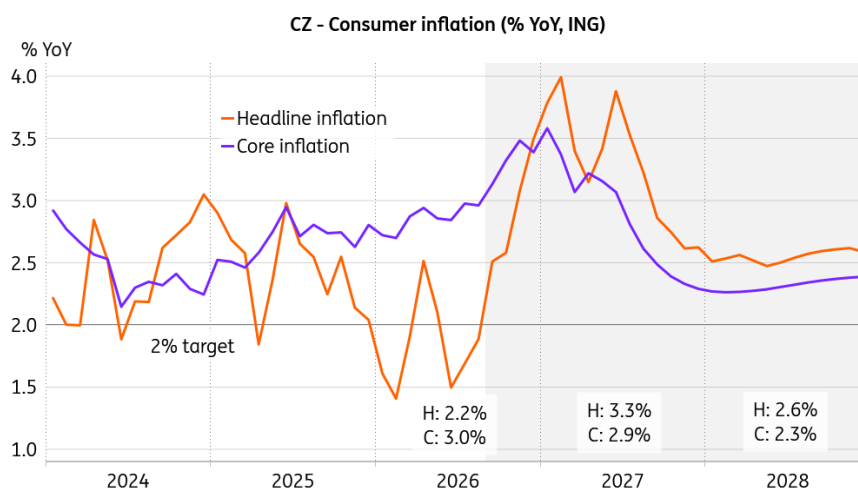
Under this scenario, the economy is set to grow by just under 2% this year and gradually

accelerate thereafter. That said, the recent re-escalation of the conflict in the Middle East, together with Brent crude prices rising above USD100/bbl, poses a clear risk to this outlook. Higher energy and material prices, and increased uncertainty, make the situation more complicated for businesses, while the weaker koruna will make imports more expensive, which may hit household budgets.

Inflation on the rise

And still, inflation is set to increase at the turn of the year. This reflects the textbook impact of a negative supply shock, where lower output is accompanied by higher prices. When it comes to the inflation outlook, we have taken on board the government measures to mitigate the surge in fuel prices, effective from October. We make the assumption that the cap on margins at fuel stations and the reduced excise duty on diesel will be implemented for six months, i.e., up until March next year. With Brent crude prices expected to decline to USD85/bbl by that time, it would be a good time to allow the measures to expire. Assuming conditions return to normal over the next two months, fuel prices are likely to receive a boost in April and May next year. So, the inflation profile has changed, namely the peak in February has shifted downwards a little to 4%, while the yearly average remains unchanged at 3.3%. Core inflation, which has become a key focus for policymakers, is set to average 2.9% next year, peaking at 3.6% in January.

Punchy inflation outlook

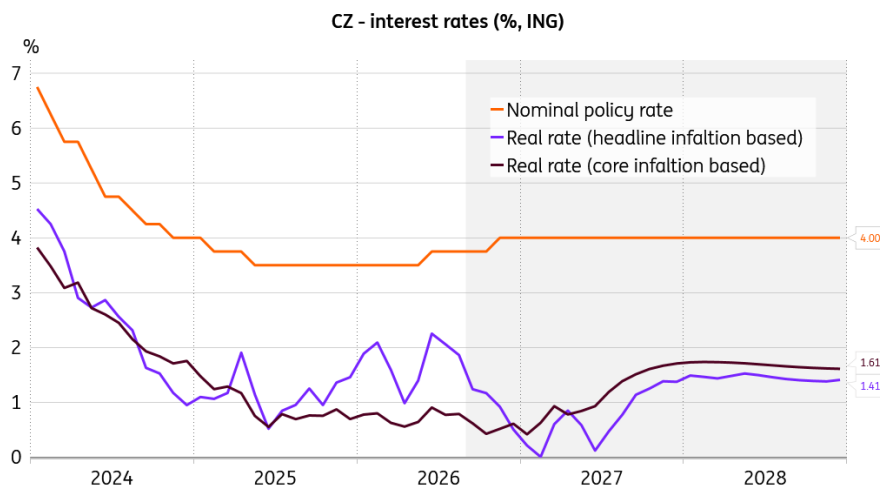


Source: CNB, ING, Macrobond

The major risk to the forecast remains the same: uncertainty around January's adjustment of regulated prices. We should obtain more information on distributors' pricing plans throughout November, which should help to reduce the current information vacuum. Nevertheless, suppliers have little incentive to announce price increases too early, as doing so could encourage customers to switch providers. And this creates an additional silent risk

for forecasters, as increases in electricity and natural gas prices, as well as surges in water and heating charges, may be announced at a very late stage or be done in smaller steps. Anyway, the first swallows have arrived, and some household energy price increases are due in September. As King Théoden says just before the battle has started: "So it begins".

Real interest rates will come under pressure



Source: CNB, ING, Macrobond

Meanwhile, I see upward risks for food prices. Higher costs for energy, fertilisers and transportation, along with below-average crop yields in Europe and ongoing difficulties in exporting Ukrainian grain (due to low water levels on the Danube and the blockade of the port of Odesa) could prove a toxic combination. For now, we stick to our view on policy rates and the Czech National Bank's likely course of action, assigning a 60% probability to a rate hike in November and 40% probability to rates remaining unchanged, with any increase likely to be a one-off fine-tuning move. It is a close call, as real interest rates are set to remain broadly positive, despite drifting close to the zero-bound in the first half of next year. The above-mentioned probabilities will evolve in response to CNB communication, news on regulated prices, Brent crude prices, and foreign exchange developments.

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